

Yelavarthi Santha Lakshmi vs The State Of Andhra Pradesh on 21 January, 2020

Author: M.Satyanarayana Murthy

Bench: M.Satyanarayana Murthy

THE HON'BLE SRI JUSTICE M.SATYANARAYANA MURTHY

WRIT PETITION No. 207 OF 2020

ORDER:

This writ petition is filed under Article 226 of the Constitution of India, questioning the inaction of the respondents in not considering the representation of the petitioner dated 13.09.2019 as illegal, arbitrary and violative of principles of natural justice and Articles 14 & 300-A of the Constitution of India and consequently to direct the respondents to cancel the family member certificate issued in favour of the fifth respondent vide proceedings No.FAMCO11901805344 dated 08.07.2019.

The petitioner is one of the children of the couple Maddipati Ammiraju and Mangalakshmi. When the petitioner was five years old her mother Mangalakshmi died in the year 1991. After the death of Mangalakshmi, the petitioner's father Ammiraju shifted to Chinaganjam of Prakasam District and married one M. Syamala, used to reside there itself. Thus, Syamala became the step-mother of the petitioner and she was not blessed with any children, therefore, she adopted the petitioner and used to look after her welfare.

The petitioner was brought up by Syamala and used to spend money on her studies. The petitioner was greatly looked after by her step mother and performed petitioner's marriage on 17.03.2019 and the petitioner and her sisters performed all her last rites being legal heirs. The said Syamala is the petitioner's mother and stood as guardian along with her father, and her name is also included in the petitioner's S.S.C marks list.

MSM,J One Koki Srinviase Reddy/fifth respondent herein, who happens to be the family friend of the petitioner's mother, made efforts to obtain family member certificate by managing the respondents/authorities in order to grab her properties. Therefore, the petitioner made a requisition to the fourth respondent/Tahsildar and Collector/Second respondent for issuance of family member certificate in her favour. On such request made by the petitioner on 10.06.2019, the District Collector referred to concern Tahsildar for proper action.

The Tahsildar, Chinaganjam issued endorsement certificate on 19.07.2019 with a request to submit required documents. When the petitioner was about to submit required documents, the fourth respondent/Tahsildar colluded with the fifth respondent and Village Revenue Officer of Chinaganjam with a malafide intention and biased manner and issued family member certificate to

fifth respondent on 08.07.2019 unilaterally. Thereafter, the petitioner made another representation to the District Collector/second respondent, duly marking copies to Revenue Divisional Officer and Tahsildar of Chinaganjam to take action against the Bank Manager, Tahsildar and the fifth respondent, who obtained family member certificate unlawfully by suppressing the material facts and got released cash from the bank account of Syamala. The petitioner herself being a family member of the deceased Syamala is entitled to claim family member certificate, but, ignoring the same, the Tahsildar issued family member certificate to the fifth respondent, who is not related to the family of the petitioner and Syamala.

The family member certificate issued in favour of the fifth respondent by the fourth respondent/Tahsildar is contrary to the MSM,J rules and procedure prescribed under G.O.Ms.No.145 dated 25.04.2015, where certain guidelines were issued for issuance of family member certificate on any application. As per above G.O, the Tahsildar concerned shall follow the following procedure and precautions while issuing the Family Members Certificate.

- i) On an application made through Meeseva, the Tahsildar shall issue Family Member Certificate, provided there is no written objection from any other member of the family.
- ii) Such Certificate issued shall be a document stating the factual relationship of the deceased with the applicant and other family members.
- iii) The Aadhar number of all the family members as well as the deceased shall be mentioned in the Certificate.
- iv) Such Certificate shall be issued without mentioning any specific purpose for which it is issued.
- v) An application for such certificate must be made along with the following documents. a. A notarized affidavit containing Name, Age and Relationship with deceased. b. Death Certificate of the deceased. c. Document (Ration card/ Voter ID Card/ Passport/ Passbook, Aadhar cards, etc.) indicating the relationship of the applicant with the deceased.
- vi) On receipt of such application, the Tahsildar shall publish a (7) seven days notice in the Village/ Ward.
- vii) After the expiry of the notice period, the Tahsildar or any other officer deputed by him shall conduct enquiry and record panchanama, based on which the Tahsildar shall either issue the certificate or reject the same.
- viii) This final order of acceptance or rejection shall be given within (15) days from the date of receipt of application through Meeseva.

In the present facts of the case, the fourth respondent/Tahsildar failed to follow the procedure prescribed under G.O.Ms.No.145 dated 25.04.2015 and did not consider the petitioner's objection for issuance of family member certificate in MSM,J favour of the fifth respondent by the fourth respondent. In those circumstances, the petitioner made a representation to the second respondent/District collector on 13.09.2019 to cancel the family member certificate issued by the fourth respondent/Tahsildar in favour of the fifth respondent and requested to launch prosecution against the fifth respondent for giving false declaration before the public authority in order to gain wrongful advantage, in terms of G.O.Ms.No.237 dated 30.06.2015 and also to conduct enquiry, but, no action has been taken.

Crime No.161 of 2019 was registered against the fifth respondent on the file of Chinaganjam Police Station, Prakasam District, for the offences punishable under Sections 379, 420 & 506 I.P.C, basing on the report of the petitioner, as he committed offences of theft, cheating and misrepresented the facts to obtain family member certificate.

Though a representation was made, no action was taken against the fifth respondent for canceling the family member certificate No.FAMCO11901805344 dated 08.07.2019. Thus, the inaction of the respondents in not considering the representation of this petitioner is illegal and arbitrary and requested to pass appropriate order.

Respondents did not file any counter.

Learned counsel for the petitioner reiterated the contentions urged in the affidavit, filed along with petition whereas, learned Assistant Government Pleader fairly conceded that the respondents are ready to dispose of the representation of the petitioner dated 13.09.2019, in accordance with law.

MSM,J The main dispute from the facts of the case appears that the petitioner is the step-daughter of the deceased - Syamala and daughter of Maddipati Ammiraju and Mangalakshmi. The said Mangalakshmi died and thereafter, Ammiraju married said Syamala. Thus, the relationship between the petitioner and Syamala is nothing but step-daughter and step-mother. The petitioner is the legal heir of Maddipati Ammiraju and Mangalakshmi along with other legal heirs, if any. But, the family member certificate was obtained by the fifth respondent from the fourth respondent/Tahsildar, as if the fifth respondent is the son-in-law of deceased - Syamala. Son-in-law will never be a family member, except when he was taken into illatom adoption, by custom prevailing in the community or region. But, G.O.Ms.No.237 dated 30.06.2015 is silent as to who is entitled to claim a family member certificate. However, a family member certificate is only a prima facie proof to manage the estate of deceased

- Syamala, including, withdrawal of any amount lying to the credit of her bank account and death benefits, etc. But, that will not confer status of any person as legal heir of the deceased.

The main grievance of this petitioner is that, the fifth respondent, based on the family member certificate, withdrawn the amount lying to the credit of the account of deceased - Syamala. When the

deceased - Syamala opened an account with the bank, she ought to have nominated a person to receive the amount in the event of her death. Therefore, such nominee is entitled to withdraw the amount, but cannot utilize the amount for the benefit of nominee alone. Nomination is a statutory one and family member certificate is not issued under any statute, except for limited purpose to show that, he is a member of the family. But, that by itself is not sufficient MSM,J to conclude that the fifth respondent is the legal heir of the deceased

- Syamala. Merely because, the fifth respondent is claiming to be a member of the family, he is disentitled to claim the benefits payable to the deceased - Syamala or withdraw the amount from her account, being a family member. In normal course, the bank authorities will insist succession certificate to withdraw the amount. But, obviously for different reasons, the bank authorities did not insist for succession certificate and allegedly permitted the fifth respondent to withdraw the amount, based on the family member certificate. Such family member certificate will not prevail over the statutory nomination or the right under Hindu Succession Act or any other law which governs the succession of the petitioner and deceased - Syamala. Therefore, the fifth respondent, at best, may claim *prima facie*, that he is a member of the family, but that would not confer any benefit on him to withdraw the amount from the bank account of the deceased - Syamala or to withdraw the benefits payable consequent upon her death.

While dealing with similar issue, but under Insurance Act, the Apex Court in *Smt.Sarbati Devi and another Vs. Smt.Usha Devi*¹, candidly expressed its view that the summary of the relevant provisions of Section 39 establishes clearly that the policy holder continues to hold interest in the policy during his lifetime and the nominee acquires no sort of interest in the policy during the lifetime of the policy holder. If that is so, on the death of the policy holder, the amount payable under the policy becomes part of his estate which is governed by the law of succession applicable to him. Such succession may be testamentary or intestate. There is no warrant for AIR 1984 SC page 346 MSM,J the position that Section 39 of the Act operates as a third kind of succession which is styled as a 'statutory testament'. The provision in sub-section (6) of Section 39 which says that the amount shall be payable to the nominee or nominees does not mean that the amount shall belong to the nominee or nominees. The language of Section 39 is not capable of altering the course of succession under law. A mere nomination made under Section 39 does not have the effect of conferring on the nominee any beneficial interest in the amount payable under the life insurance policy on the death of the assured. The nomination only indicates the hand which is authorized to receive the amount, on the payment of which the insurer gets a valid discharge of its liability under the policy. The amount, however, can be claimed by the heirs of the assured in accordance with the law of succession governing them.

Thus, it is clear that the nominee is entitled to receive the amount and the legal heirs are entitled to claim share according to the law of succession which the parties governed. It will not disinherit the legal heirs to claim any share in the claim amount received by nominee and it would not confer exclusive right to the nominee. Nominee's role is only to receive the amount as an agent of all the legal heirs of the deceased. Therefore, the legal heirs of the deceased are entitled to claim share as per the law of succession.

Similar view was expressed by the Division Bench of High Court of Andhra Pradesh in K.Suramma Vs. K.Ramayamma and others², and the judgment is under Andhra Pradesh Government Life Insurance (A.P.G.L.I), wherein the nominee claimed exclusive right over insurance claim payable by A.P.G.L.I. But, the Court held that 2002(2) ALT page 65 (D.B.) MSM,J the amount is liable to be distributed among all the legal heirs of the insured as per their share.

Therefore, the petitioner in the present case, being the legal heir of the deceased - Syamala, may claim her share, as per the succession, which is applicable to the petitioner and even the son-in-law is not entitled to claim anything, except by way of testamentary dispossession by said Syamala.

Though the judgments of Supreme Court and Division Bench of High Court of Andhra Pradesh referred above are pertaining to insurance claims, but the same principle is applicable event to claim any amount that is payable to the deceased. More so, when the deceased opened a bank account, if any person is nominated, he is entitled to recover the amount, since it is a statutory nomination. But, the nominee is entitled to receive the amount and distribute among the legal heirs, if any, and it does not confer any absolute right on the nominee of the deceased. Here, it is a peculiar question is whether son-in-law claimed to be a member of the family and allegedly withdrawn the amount lying to the credit of the account of the deceased-Syamala based on the family member certificate. The bank officials ought to have insisted production of succession certificate, instead of releasing the amount, permitting the fifth respondent to withdraw the amount based on family member certificate. The fifth respondent is neither a nominee, nor a family member prima facie. But the bank authorities, for reasons best known to them, allegedly permitted the fifth respondent to withdraw the amount. In these circumstances, the remedy open to the petitioner is to file a suit for appropriate relief against the concerned persons and mere obtaining a family member certificate or MSM,J cancellation of family member certificate issued in favour of the fifth respondent by the fourth respondent/Tahsildar would not serve any purpose at this stage. In any view of the matter, when the learned Assistant Government Pleader for Revenue fairly conceded that the respondents are ready to dispose of the representation of this petitioner in accordance with law, I find that it is appropriate to issue a direction to the second respondent/District Collector, Prakasam District, Ongole, to dispose of the representation of this petitioner dated 13.09.2019, in accordance with law, within a week from the date of receipt of copy of this order. The observations or findings, if any, recorded herein above are limited for the purpose of disposal of this petition. If any suit or proceeding is instituted in any Court, the Court has to dispose of such suit or proceedings un-influenced by the observations or finding, if any, recorded in the order.

Further, the petitioner is permitted to furnish a copy of this order, enabling the second respondent/District Collector to act upon the representation of the petitioner dated 13.09.2019 and pass appropriate order(s) on the representation of this petitioner.

With the above direction, writ petition is disposed of, at the stage of admission, with the consent of both the parties. No costs.

Consequently, miscellaneous applications pending if any, shall stand closed.

MURTHY Date:21.01.2020 sp